Prospects dimming for permitting deal

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Cuts to EV and solar tax credits will survive Democratic pushback
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F-35 deal elevates private capital and diversifies sustainment supply chain

Prospects dimming for permitting deal. The permitting reform compromise reached last month appears to be in jeopardy after President Donald Trump's administration has continued targeting already-permitted renewable energy projects.

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The permitting reform package relied on Democratic concessions on fossil fuel projects—loosening environmental regulations that hindered permitting—in return for easier permitting for energy transmission projects and a promise from the administration not to continue revisiting already-issued permits for renewable energy projects.
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On Tuesday the Justice Department moved to reopen the permit for a wind project off the coast of Massachusetts, ostensibly breaking that promise; Sen. Sheldon Whitehouse (D-RI), a lead Democratic negotiator on the bill, has indicated the move could kill Democratic support for it, and Democratic interest groups and state attorneys general had already voiced concerns with the bill as written.
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We had previously flagged permit re-evaluation as a potentially existential threat to permitting reform (see Strong inflation numbers leave Democrats in the driver’s seat , 14 October 2026). While we still believe the bill will pass in the lame duck period, given the need for support from only a few Democratic Senators, a more coordinated response to the administration’s actions across the Democratic caucus would cause us to revisit this.
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It also appears the government is pulling back objections the Department of Defense had raised with other wind projects without dropping the DOJ’s recent legal challenges. This is a sign the administration is attempting to mitigate Democratic opposition, and further administration support for wind projects

will be key to pushing permitting reform over the finish line.

Cuts to EV and solar tax credits will survive Democratic pushback. Sen. Ron Wyden (D-OR), lead Democrat on the Senate Finance Committee, announced that he intends to introduce a bill aimed at reinstating wind and solar tax credits after the midterms. However, such a proposal is unlikely to find veto-proof support.

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Wyden, along with his announcement of the bill, aims to release a report detailing $2.5 billion in direct payments disbursed for electric vehicles and clean energy sources. The timing of the report is notable: while Americans are increasingly frustrated with high energy costs exacerbated by the war in Iran, this bill will re-elevate the One Big Beautiful Bill Act (OBBBA) as a talking point within that problem set.

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Senator Wyden's bill is unlikely to garner veto-proof support as a standalone bill. President Trump's administration will resist anything that looks like Inflation Reduction Act restoration, making it unlikely to pass into law without receiving a veto – a point that Wyden, himself, acknowledged. Still, the bill may gain traction as a 2028 presidential campaign talking point, making its ability to pass Congress a valuable watchpoint.

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Other cuts driven by OBBBA, particularly those to welfare, however, are likely to be delayed or reversed. We maintain our view that Democrats will likely exchange these delayed cuts for support for increased defense spending during President Trump's term (see: Democratic midterm sweep would bring limited changes in policy direction, 20 October 2026).

F-35 deal elevates private capital and diversifies sustainment supply chain. The Pentagon and Lockheed Martin have agreed to a 10-year framework deal for the F-35 fighter program. The deal will require Lockheed to self-fund $7 billion for program needs in exchange for a long-term government procurement commitment with a floor of 850 aircraft.

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The deal, part of the broader Acquisition Transformation Strategy, seeks to energize the defense industrial base by attracting private capital investment. Stable demand signals from government customers, especially over time with recurrent interruptions from continuing resolutions (CR), have long been an obstacle for defense firms and investors alike.

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The deal is still subject to congressional authorization and appropriations cycles, meaning that there is still risk that future appropriations battles could delay or scale back the effort. However, despite complications with platform delivery in the past, the F-35 program still enjoys broad bipartisan support on Capitol Hill.

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If enacted, the agreement would represent a significant shift in defense contracting that would solidify private capital's growing role in the sector. Looking at second-order effects, the deal will also prove beneficial for US partners as it includes parts and services that will alleviate pressure on global F-35 fleet sustainment, and similar arrangements may be reached for other systems as the US seeks to expand defense production.

Quote of the Day

"I just want to say, I’m not running against President Trump. I’m running against him.” - Adam Hamilton, the Democratic candidate in Kansas's Senate race, speaking to voters at a debate with incumbent Sen. Roger Marshall last night. Hamilton has made overtures to Trump voters throughout his campaign and was careful to aim his attacks at Marshall, not Trump or the Republican party, through the debate; Kansas has shaped up to be an unexpectedly close race, and Hamilton would be the first Democratic Senator to represent it in nearly a century if he wins.

On the Radar

30-31 October: G20 Foreign Ministers' meeting

3 November: National midterm elections

9 November: Congress returns from recess

18-19 November: APEC leaders meeting in China

11 December: Government funding runs out

14-15 December: G20 summit in Florida

10 January: US-China tariff truce expires

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